EU YOUTH TAX LITERACY PROGRAM

EU Budget

Where the European Union’s money comes from and what it is used for

The sequel to “VAT and consumption taxes” — a look from the national level to the European one

TAXpedia

Understand taxes. Understand Europe.

IN THIS LESSON

What you will learn in this lesson

From individual income and consumption to the common European budget

What the EU budget is

And what it is NOT: it does not replace national budgets.

Where the resources come from

Member State contributions, own resources, customs duties.

Where the money goes

The major shared spending priorities.

Why it is different from a State

Smaller budget, focused on common priorities.

How decisions are made

Multiannual framework (MFF) + annual budgets.

Why it concerns you too

With concrete examples from your everyday life.

A budget, not a State

The European Union does not collect taxes like a national State and does not replace healthcare, schools or pensions: it manages a common budget, smaller and more focused.

Goal: understand where these common funds come from, where they go and why they affect you directly.

What the EU budget is

A common budget for shared policies and projects

The European Union manages a common budget to finance policies and projects in all Member States.

It is not a national budget

It does not cover all public spending: it focuses on priorities chosen together by the Member States.

It is a pooling of resources

Each country contributes and receives, according to shared rules, for common goals.

The EU is not a State

Why its budget works differently

So it does not collect personal income tax (IRPEF) or social security contributions like a national State.

It does not directly fund national pensions, healthcare or education.

The budget is smaller and concentrated on common priorities: cohesion, agriculture, research, green transition…

Where the money comes from

Three main sources of funding for the common budget

Member State contributions

Based on the size of each Member State’s economy.

Own resources

Partly linked to consumption and wealth, in a simplified way.

Customs duties and other revenue

Customs duties on imports, plus other minor revenue.

In short: a portion of national resources is pooled for shared goals.

Where the money goes

The major shared spending priorities

Cohesion and regions

Agriculture, fisheries and rural areas

Research, innovation and digital

Green transition, energy, environment

Migration, security and external relations

Administration of EU institutions

Examples you can see

The EU budget behind projects and programmes you know

Climate projects

- Green Deal
- Ecological transition
- Energy efficiency

Co-financed local projects

- Infrastructure
- Urban regeneration
- Sustainable mobility

Research support

- Research calls for proposals
- Innovation and start-ups

Mobility programmes

- Student exchanges
- Erasmus programme

6 · COMPARISON

EU budget vs national budgets

Two complementary levels, with different roles

Individual States

- They fund almost everything: healthcare, schools, pensions, security…
- Direct services to citizens

European Union

- Smaller, more focused budget, on common priorities
- Coordination and funding of shared projects and programmes

How decisions are made

A two-level planning system

Multiannual framework (MFF)

Sets the major spending priorities for several years.

Annual budgets

Detail the revenue and spending of each individual year.

The decision-making path

The Commission proposes → **Parliament and Council decide**

It is a negotiation between European institutions and national governments.

Why it concerns you

Three concrete ways the EU budget meets your life



Funds projects near you

Even in your own region or city.



Creates opportunities for young people

Training, mobility, projects.



Shapes long-term priorities

Climate, digital, cohesion between regions.

Three myths to debunk

To talk about it without slogans

“The EU decides all our taxes”

Most taxes remain a national responsibility.

“The EU only spends on bureaucracy”

Administration is one part of the budget, not the main one.

“The EU is just a cost”

The EU budget also funds opportunities and concrete projects in the Member States.

RECAP

Your key takeaways

In 5 lines: the logic of the common European budget.

1. The EU budget is a common budget, different from that of a State
2. Resources come mainly from Member State contributions and own resources
3. Spending is concentrated on shared priorities: cohesion, agriculture, research…
4. Decisions are made through a multiannual framework (MFF) plus annual budgets
5. The EU budget has concrete effects on projects and opportunities for young people

Next step: look for an EU-funded project in your area (signs, institutional websites) and try to work out which priority it supports.